

NATIONALISM

Like it or not, nationalism is a stronger force than ever. Everyone wants his own country. There's been an explosion in country names. A mapmaker would be a good investment, but Rand McNally is virtually a private company. The third thing you do when you start a new country is print your own money. (The first thing you do is design a flag. The second is get your mistress a bigger apartment.) So I own Stevens International, which has a license to print money. Our own Bureau of Engraving and Printing is a customer. The French government is another.

OUTSOURCING

Many businesses—abroad as well as in this country—have been deciding that they can be more efficient, effective, and competitive if they buy certain services on the outside that they have heretofore taken care of internally. Temporary-help companies are an early example, and Manpower has been one of our rewarding investments. Today, there are service companies that will take on total office assignments. Systems and Computer Technology runs the business offices of universities. Capita, an English company, manages the driver's license offices of some municipalities. Serco, another U.K. company, runs prisons, RAF bases, and research laboratories.

But outsourcing is now expanding beyond administrative services. Steel mills, for example, are increasingly concentrating solely on manufacturing, letting somebody else do the processing, warehousing, and distribution. And steel users are doing the same, hiring outsiders for fabrication assignments. Instead of shipping a coil of steel, for example, Worthington Industries will, if requested, stamp disks out of the coils and ship the disks instead. Worthington, blessed with superior management and excelling at both customer service and employee relations, has been a great stock.

I think the outsourcing theme is going to be lucrative for a long